

9.1

Revenue

Growth

Let us begin with the first item - revenue growth, or revenue from operations growth. Most business owners want their company to grow, at least enough to match the inflation.

EXAMPLE

If you were selling goods worth Rs. 1 Lakh in the current year and the rate of inflation is 5%, you would atleast want to sell goods worth Rs. 1 Lakh and five thousand, i.e, atleast match inflation. Any growth beyond this would actually grow the size of the business.



You would want consistent growth in revenue year after year. So, it's very important to understand how the company and its revenue are growing year after year.

PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Revenue From Operations						
Revenue from Operations Growth		6%	3%	14%	3%	0%
Revenue verticals/ Total Revenues						
Sale of Products	96.6%	96.5%	95.6%	94.8%	95.8%	97.0%
Sale of Services	2.9%	3.0%	3.7%	4.5%	3.7%	2.4%
Other Operating Revenue	0.5%	0.5%	0.7%	0.6%	0.5%	0.6%
#4/ Revenue From Operations	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Operating Asset Turnover Ratios	4.40	4.26	3.96	4.19	3.53	1.55
Increase due to Price Vs Increase due to Volumes. Have an idea about company's pricing power too						

The next question is, what is the source of the revenue? We can breakdown the revenue into multiple categories/segments and understand the growth from each segment.